Wapic Insurance Plc.

HY 2017 Financial Results
Presentation to Investors & Analysts

August 8, 2017

Presenters

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Introducing...

WAPIC SMART PRODUCTS

Welcome to our world

Speaker Topics

About Wapic

Regulatory Environment

Operating Environment

Financial Overview

Outlook

Creating sustainable value

3 Operating entities

169 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

6 Regional offices in Nigeria
(Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

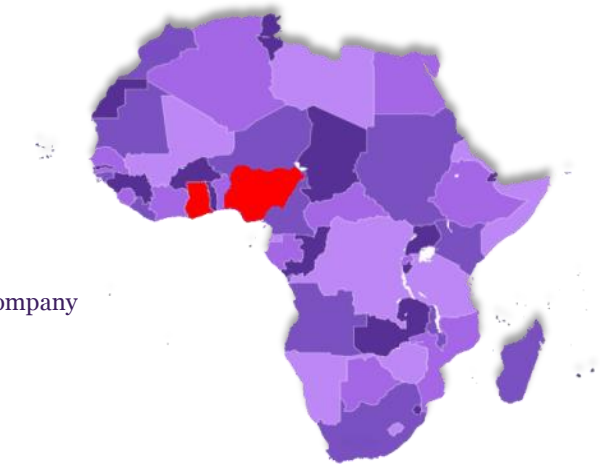
N29billion
Total Assets

850,000+
Shareholders

19 Billion
Assets Under Management

WAPIC Insurance Plc.
(Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Presence	• **Nigeria and Ghana**
Listings	• **Nigerian Stock Exchange** • **GDR Depositary Bank - Bank of New York, Mellon**
Rating (AM Best)	• **C++ (Financial Strength Rating/Stable Outlook)** • **b+ (Issuer Credit Rating/Stable Outlook)**
Actuaries	EY
Re-insurers	Munich RE, AFRICA RE, CONTINENTAL REINSURANCE, WAICA RE, Ghana Re, Nigeria Reinsurance Corporation
Auditors	• PwC

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Regulatory and industry environment

The National Insurance Commission has made a commitment to tackle rate-cutting on insurance premiums by operators in the industry and apply appropriate sanctions on perpetrators, noting that rate cutting is injurious to the sector and members of the insuring public were concerned.

The London Stock Exchange (LSE) admitted Nigeria's first Diaspora Bond to commence trading on the main market. Proceeds from the five-year, 5.625% bond will be used to fund infrastructure projects in the country. The bond is the first from an African country that is registered with both the United Kingdom Listing Authority (UKLA) and the US SEC and targeted at retail investors.

The National Pension Commission (PenCom) issued a notice to all employers wishing to solicit for business from any federal government ministry, department and agency (MDA) of the requirement to provide proof of compliance with the provisions of the Pension Reform Act, 2014 (PRA 2014). Only Pension Clearance Certificate (PCC) issued by PenCom will serve as proof of compliance with the provisions of PRA 2014.

The Central Bank of Nigeria (CBN) in partnership with the Nigeria Educational Research and Development Council (NERDC), has finalised plans to commence the training of teachers ahead of the inclusion of financial education in the curriculum of primary and secondary schools in the 2017/2018 session. This is in line with the CBN's commitment to the National Financial Inclusion Strategy.

The National Insurance Commission released a draft of the revised guidelines for microinsurance operations in Nigeria. The draft guidelines was released to insurers, reinsurers, brokers and other industry stakeholders for their inputs.

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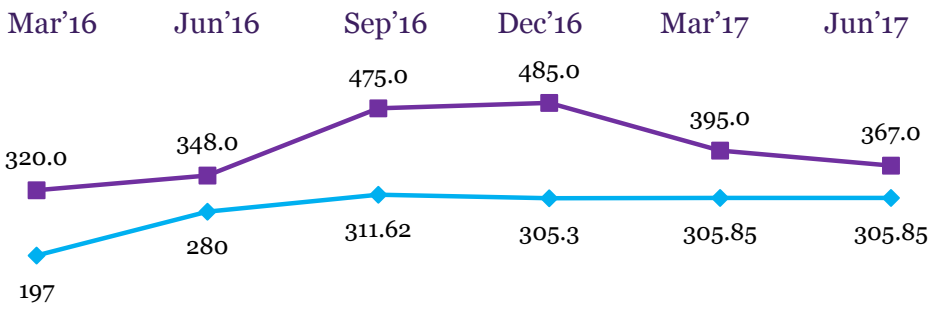
Operating environment

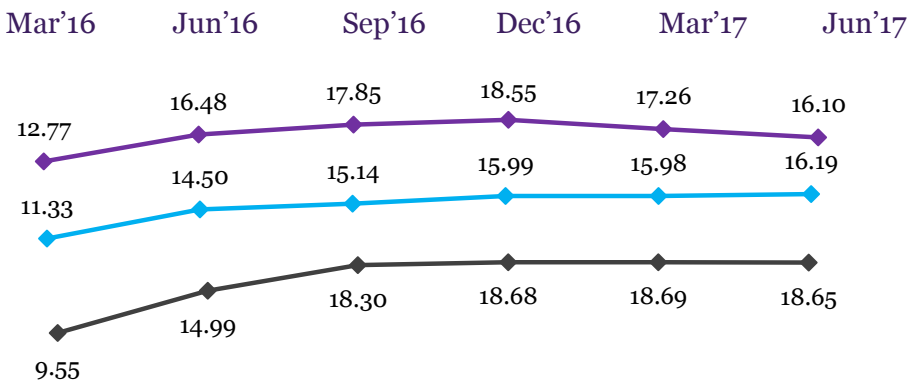
FX Rate N/$



The Naira appreciated to N367/$ at the parallel market backed by CBN's intervention in the FX market. Although the slight decline in oil prices pose a threat to CBN's continuous intervention in the FX market, the central bank's support has been sufficient to support market liquidity and aided a exchange rate convergence between the parallel market and interbank rates.

Official Rate — Parallel Mkt —

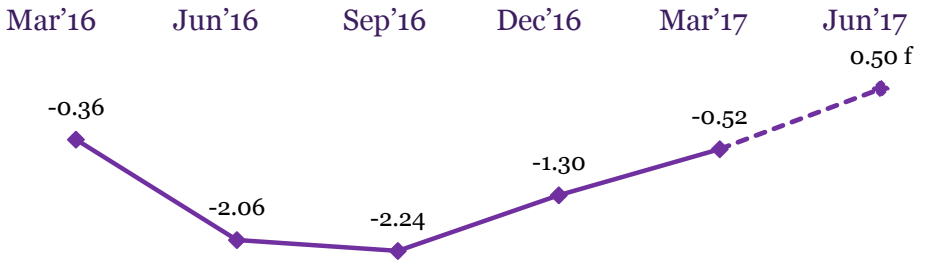
Inflation, Bonds & T-bills



Headline inflation continued on a downward descent to 16.10% in HY'17, representing a 2.4% YoY decrease from HY'16. This denotes the fifth consecutive decline since peaking in Q4 2016 at 18.55%.

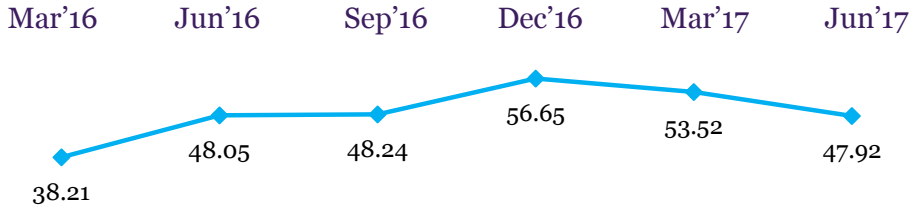
Inflation — 5-yr FG Bonds — 1-yr TBills —

GDP Growth (%)



GDP contracted by -0.52% YOY in Q1 2017, the fifth consecutive contraction since Q1 2016, it is forecasted to grow by 0.50% YOY in Q2 2017. The uptick in the economy is expected to continue considering the improvements in manufacturing output, increased oil production as well as the CBN's sustained supply of dollars to critical sectors of the economy.

Crude Oil $/barrel



In Q2 2017, oil prices dipped to $47.92 per barrel. This is despite the agreement between OPEC and non-OPEC members to cut production. While oil prices initially stayed above $50 per barrel, rising US shale oil production coupled with falling oil demand have wiped out any gains from the production cuts.

Source: CBN, National Bureau of Statistics (NBS), Business Monitoring International (BMI)

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		HY'17	HY'16		%Δ
Earnings	Total Income	7,131	6,040	↑	+18
	Gross Written Premium	5,897	4,489	↑	+31
	Net Underwriting Income	3,084	2,382	↑	+29
	Total Underwriting Expenses	2,462	2,076	↑	+19
	Underwriting profit	622	306	↑	+103
	Net Investment & Other Income	922	1,337	↓	-31
	Expenses & Provisions	2,074	1,960	↑	+6
	Profit before Tax	519	368	↑	+41
	OPEX ratio	35%	44%	↑	-19
	Net claims ratio	59%	62%	↑	-6

		HY'17	FY'16		%Δ
Financial Position	Financial Assets	10,018	7,401	↑	+35
	Reinsurance Assets	2,613	1,573	↑	+66
	Total Assets	28,660	25,902	↑	+11
	Total Liabilities	11,528	9,336	↑	+23
	Shareholders' Funds	17,131	16,566	↑	+3.4
	ROA	2%	5%	↓	-64
	ROE	2%	4%	↓	-42

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Income statement review

NGN million

	HY'17	HY'16	%Δ
Gross Written Premium	5,897	4,489	+31
Reinsurance expenses	1,814	1,376	+32
Net claims expenses	1,628	1,349	+21
Underwriting expenses	834	727	+15
Underwriting profit	622	306	+103
Investment income	724	523	+38
Other operating income	198	814	-76
Operating expenses	2,074	1,960	+6
Profit before tax	519	368	+41

Highlights

- Growth in GWP was by 31% to N5.9bn at the end of June'17, up from N4.5bn achieved in the corresponding period of 2016.
- Reinsurance expenses increased by 32% to N1,814m as at HY'17 from N1,376m recorded in HY'16. This was impacted by an increase in facultative reinsurance to balance exposure on specific risks particularly in the Oil and Energy and General Accident portfolios.
- The Group, benefiting from the growth in GWP, doubled its underwriting performance for the period to close at N622m in HY'17, representing a 103% improvement from the prior period's position of N306m.
- As we continue to implement our transformational strategies we also ensure that costs are optimized; the 6% growth in Operating Expense is well within our improvement plans for the period.
- PBT continued on the same positive stead with a 41% improvement from the corresponding period's position to close at N519m for HY'17 (HY'16: N368m)

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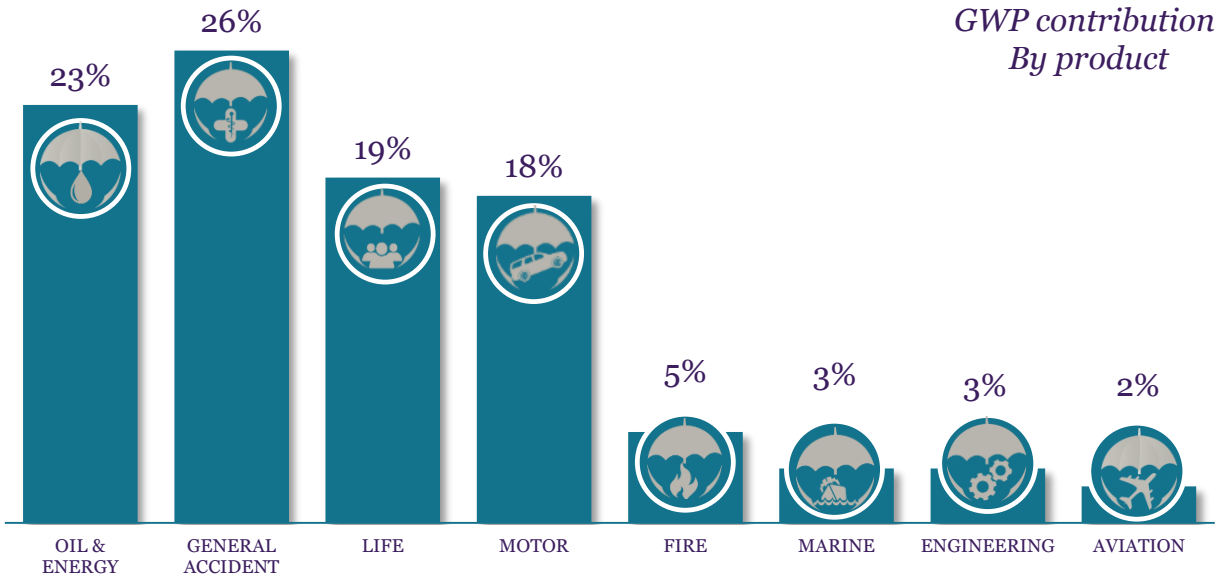
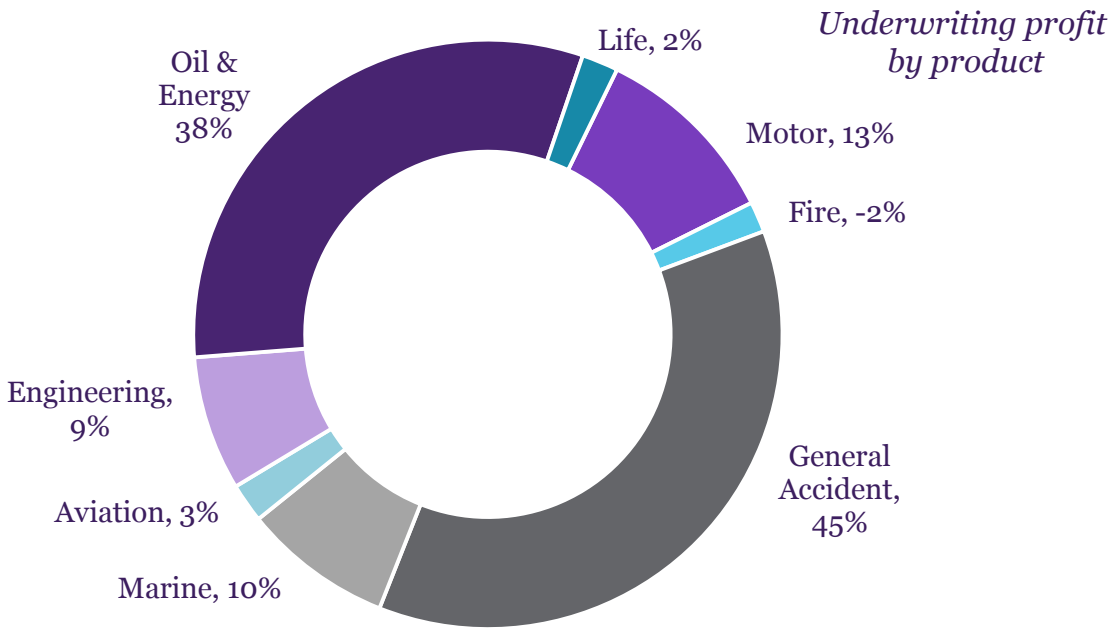
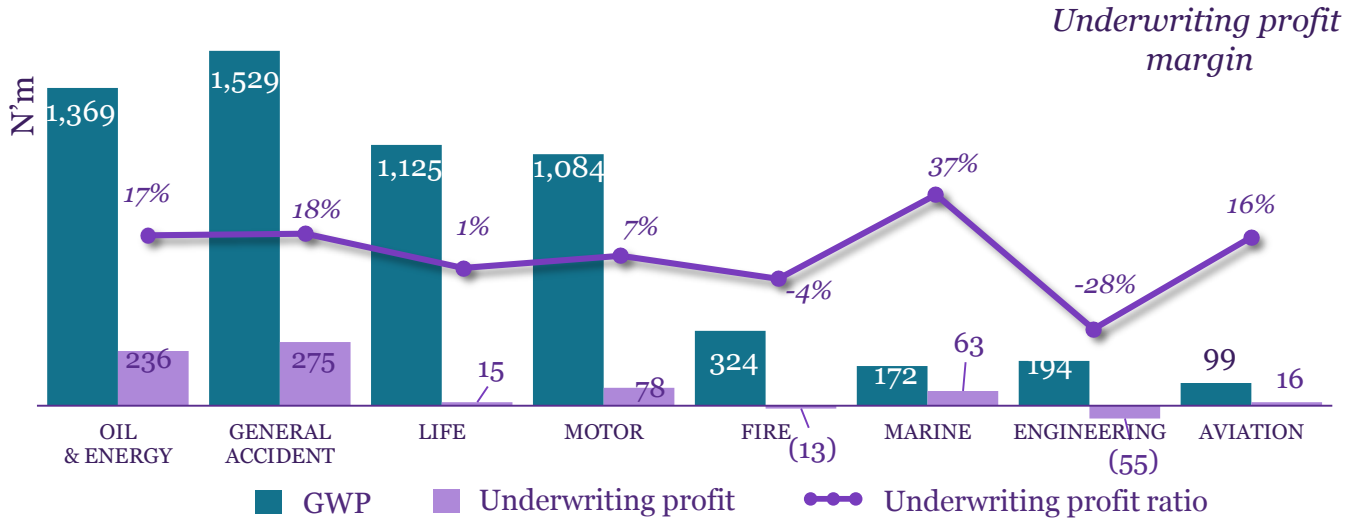
Product performance





Highlights

- General Accident was the top performer for the period, with a 26% premium contribution to the Group's GWP. It is closely followed by Oil & Energy at 23%. Motor and Life achieved equally good performances at 18% and 19% respectively.
- Driven by their sales performance, General Accident and Oil & Energy were the two most profitable products in Q1'17, recording a 45% and 38% contribution to the Group's underwriting profit respectively.
- Marine recorded the highest underwriting profit margin ratio at 37% in HY'17, followed by General Accident at 18%.



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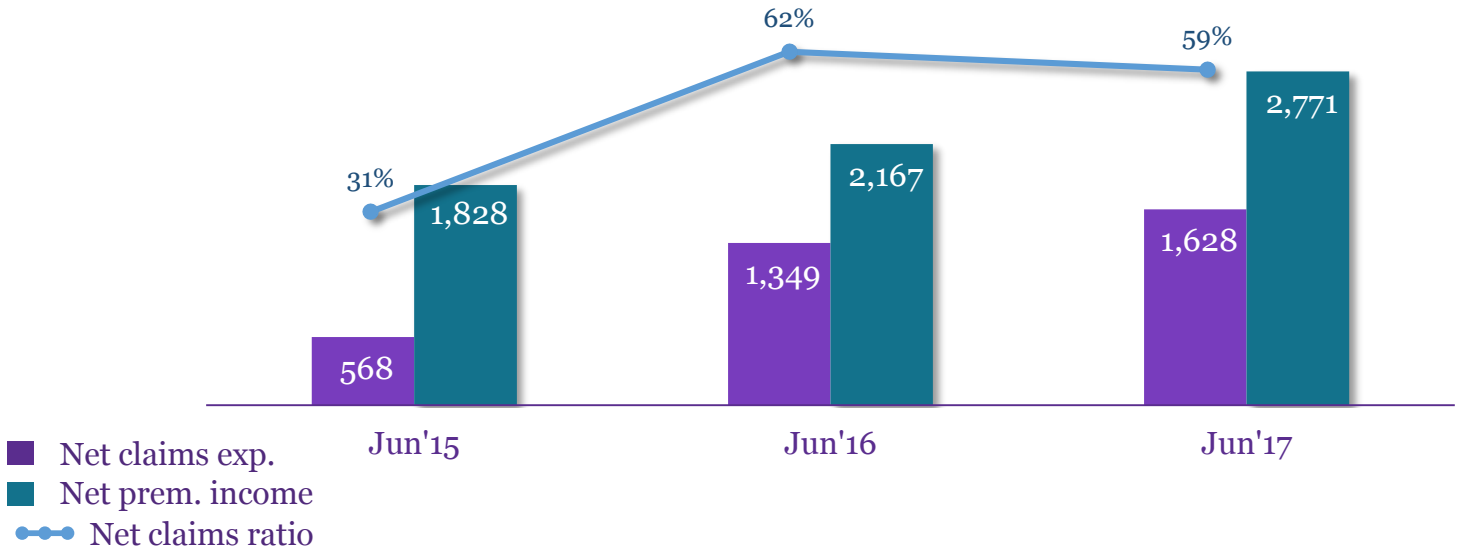
Group expenses

NGN million

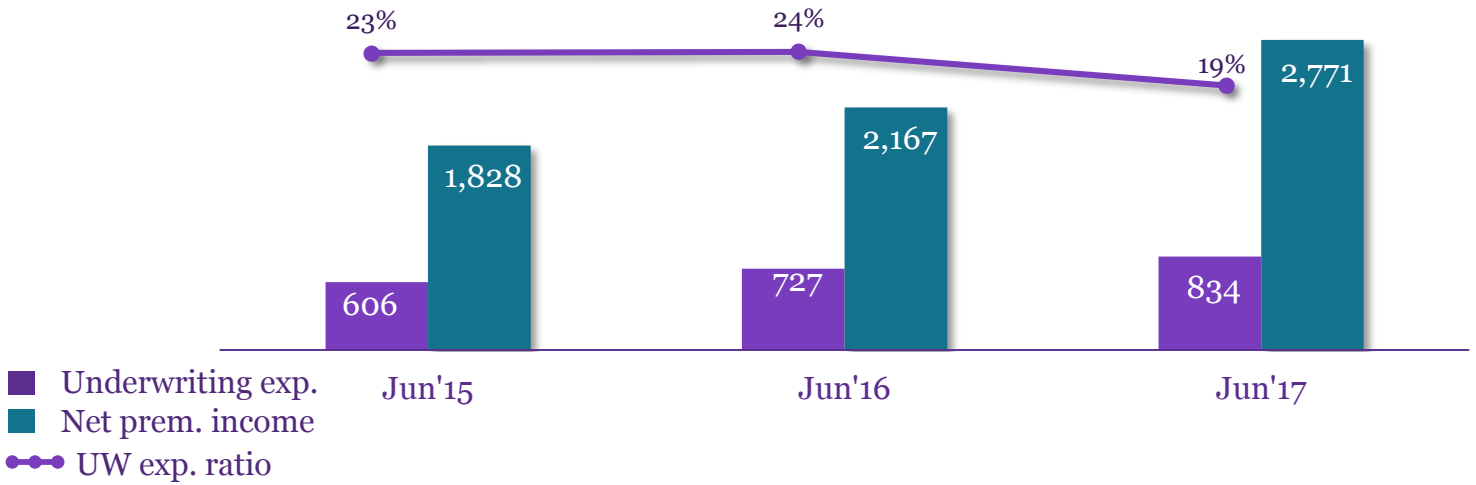
Net claims expenses

- Increase in the Group's gross claims payout experience for the period largely drove the 21% growth in Net Claims Expense from N1.3bn in HY'16 to N1.6bn in HY'17.
- Notwithstanding the foregoing, the growth in Net Premium Income cushioned the Net Claims Ratio for the period which dropped to 59% in HY'17 from 62% in the corresponding period of HY'16.



Underwriting expenses

- Underwriting expenses increased by 15% for the period against the prior period of HY'16, mainly driven by a better topline performance. As a Group, we continue to drive for improved efficiency.
- Owing largely to the growth in Net premium Income for the period, Underwriting expense ratio dropped by 21% from HY'16 to 19% in Q1'17.



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Group expenses

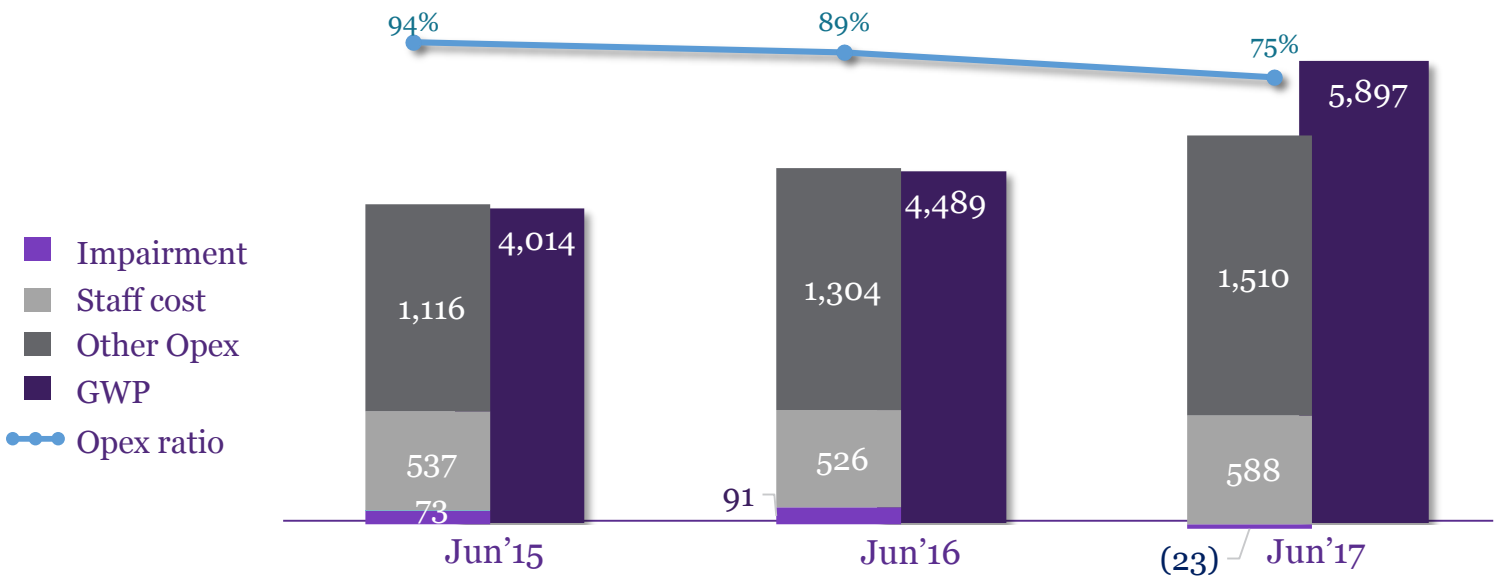
NGN million

Operating expenses

- A nominal growth in Operating expenses by 6% for the period to N2bn in HY'17 (HY'16: N1.96bn)

Key Drivers:
– The company's investment in people
– Upgrade of our technology solution for business process optimisation, greater efficiency and seamless operations

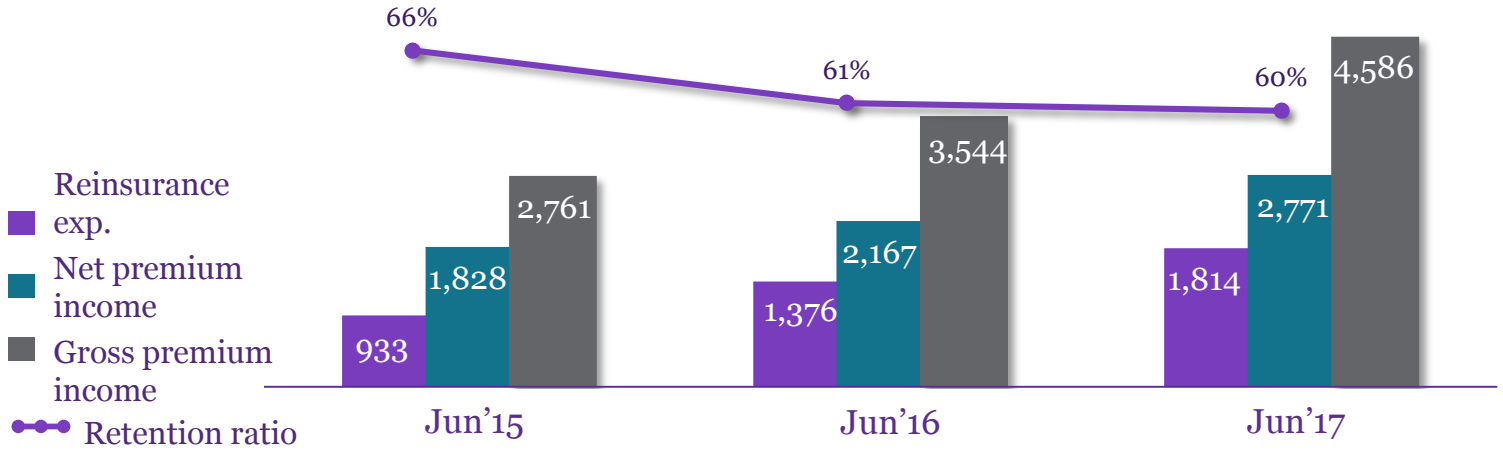
- Opex ratio decreased by 17% from 89% in HY'16 to 75% in HY'17, due to growth in gross premium.



Reinsurance expenses

- Reinsurance expenses grew to N1.8bn, a 32% YoY growth from N1.3bn in HY'16.

- We are confident that the Reinsurance optimization focus will yield solid results.



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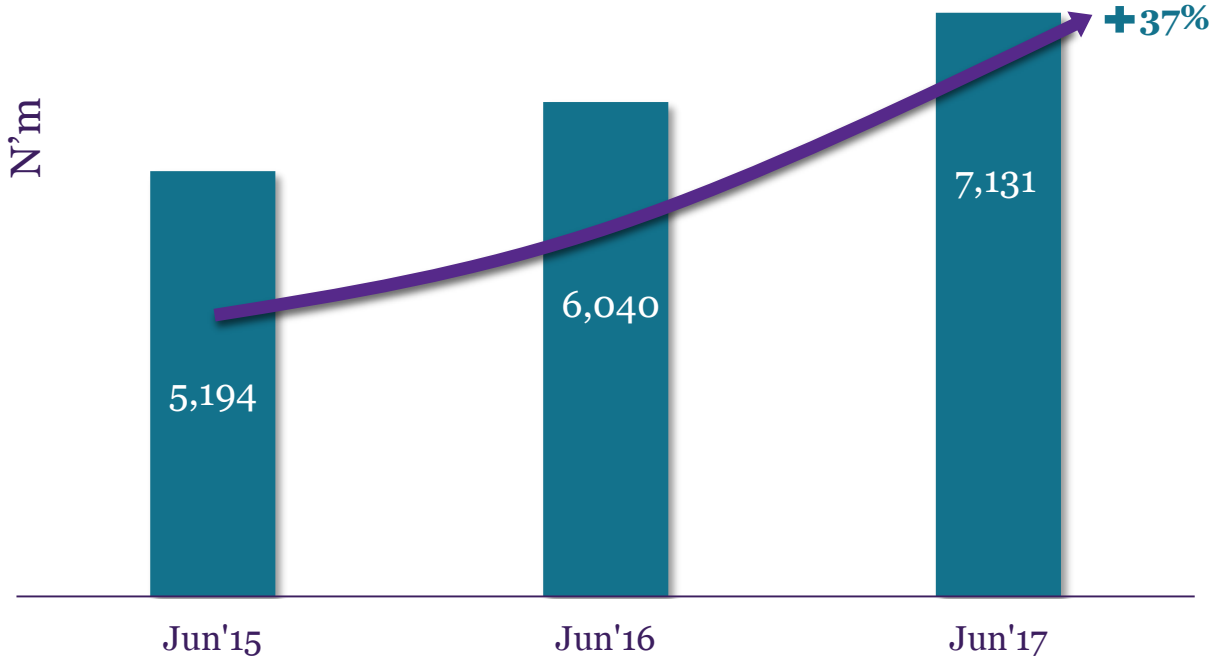
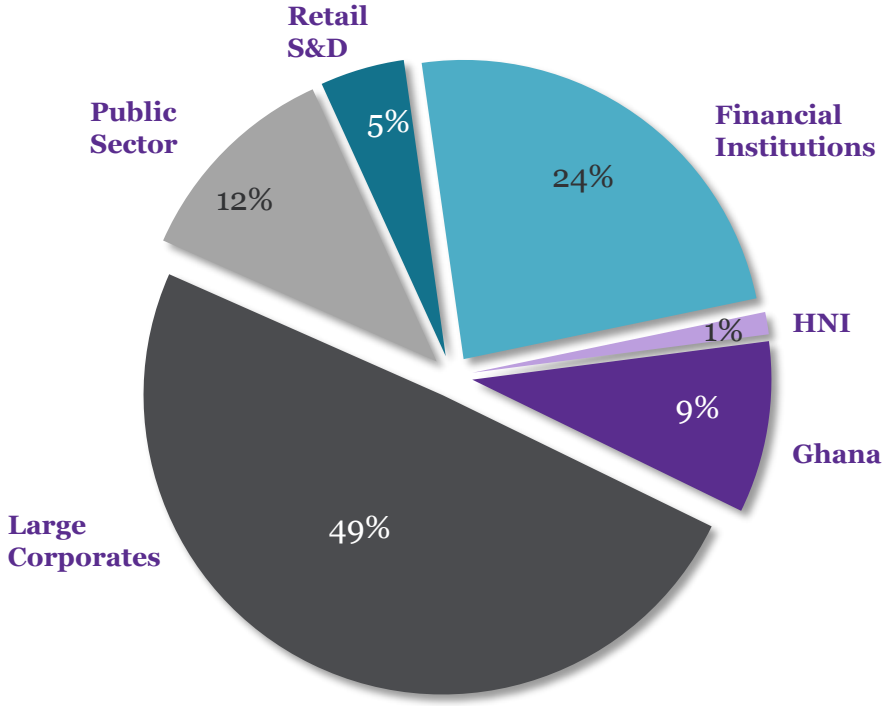
Revenue

Group Total Income



GWP contribution by Business Groups



- The Group's Total income grew by 18% YoY to close at N7.1bn in HY'17 (HY'16: N6bn)
- GWP by business groups shows that Large Corporates contributed the largest chunk to the Group's topline for the period at 49% share, followed by Financial Institutions at 24%
- The Ghana subsidiary contributed 9% to the Group's total GWP

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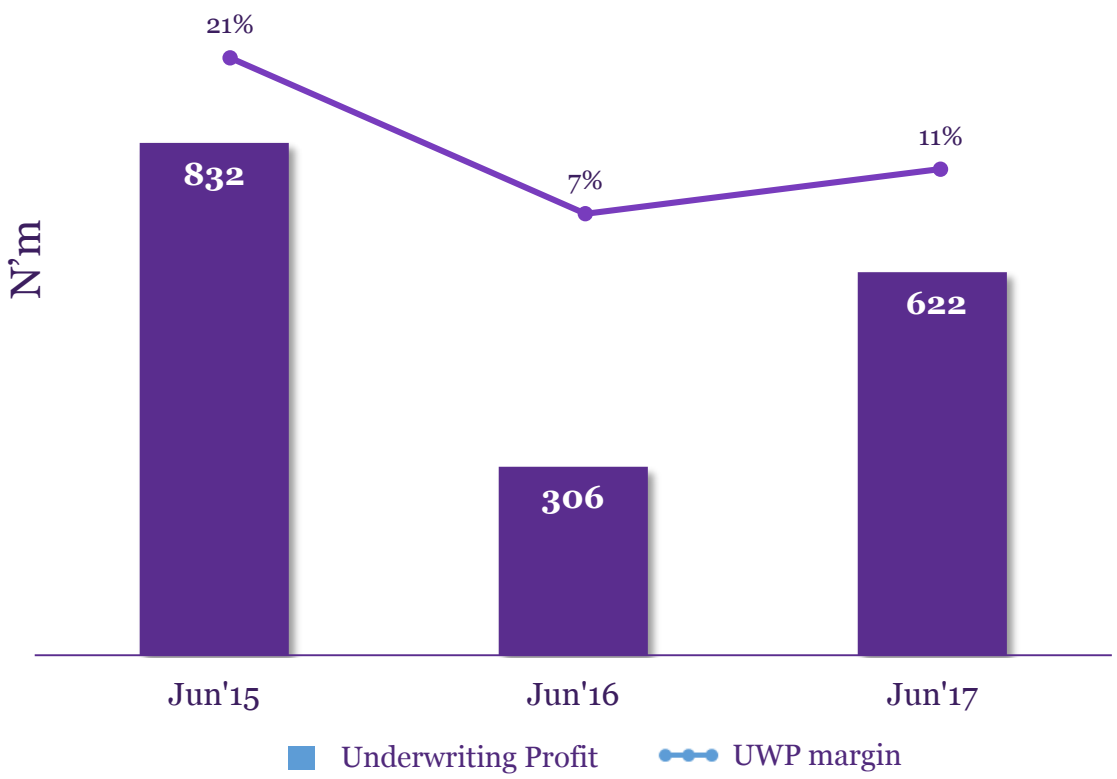
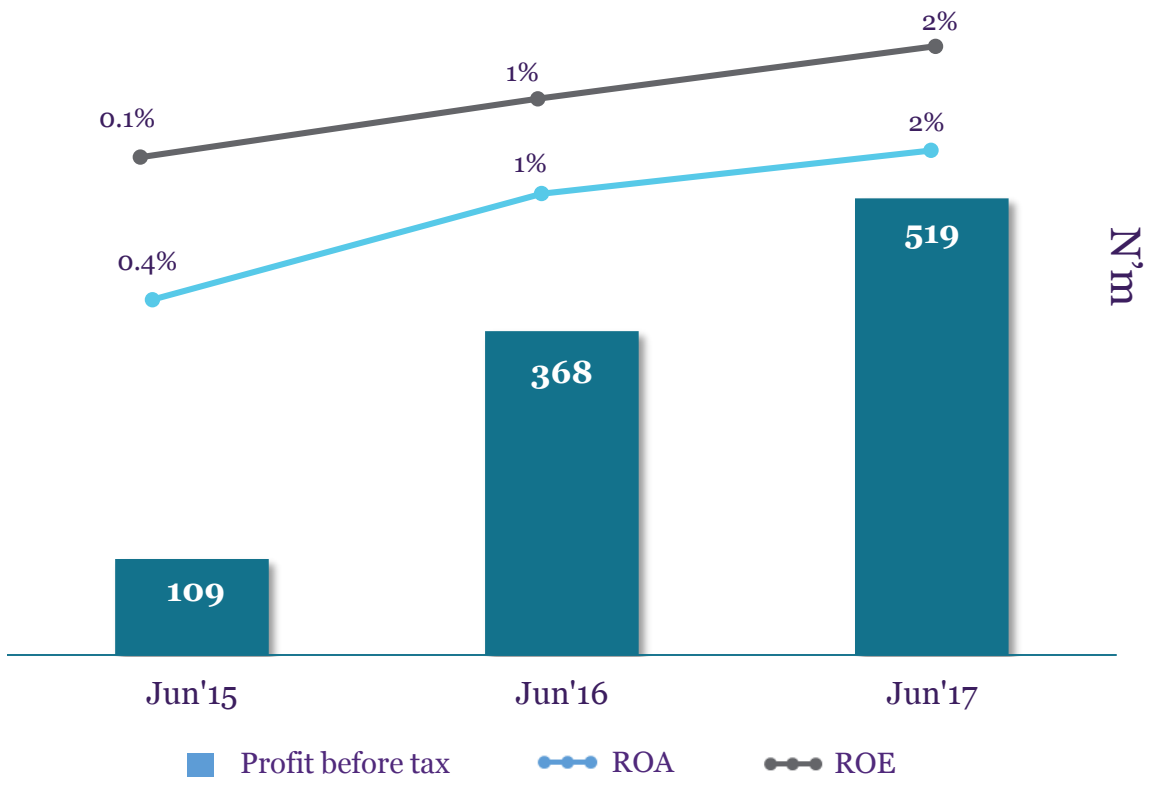
Group profit position

Underwriting profit



Profit before tax



- Owing to the increase in underwriting income for the period, the Group's underwriting profit went up by 103% to close at N622m in HY'17 (HY'16: N306m). This led to an underwriting profit margin ratio of 11%, a 57% increase from the corresponding period in 2016.
- The Group recorded a PBT of N519m in HY'17 a 41% YoY growth from HY'16, largely due to strong returns from strategic investments.
- ROA and ROE remain positive and at an upward trend of 2% and 2.3% respectively for the period.

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Financial Highlights

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SOFP Review

Assets under Management

Statement of financial position

NGN million	HY'17	FY'16	%Δ
Cash and cash equivalents	611	2,220	-72
Financial assets	10,018	7,401	+35
Reinsurance assets	2,613	1,573	+66
Trade receivables	325	554	-41
Other receivables & Prepayment	1,382	1,145	+21
Investment property	377	540	-30
Investment in associate	7,720	7,174	+8
Fixed assets and intangibles	4,288	4,229	+1
Other assets	1,325	1,066	+24
Total assets	**28,660**	**25,902**	+11
Trade payables	150	236	-37
Provisions & other payables	1,520	1,320	+15
Current income tax liabilities	193	208	-7
Insurance contract liabilities	8,383	6,374	+32
Investment contract liabilities	1,005	920	+9
Deferred Tax Liabilities	278	0	0
Total liabilities	11,528	9,336	+23
Equity	17,131	16,556	+3
Total equity & liabilities	**28,660**	**25,902**	+11

Highlights

- Cash and cash equivalents fell by 72% against FY'16 primarily due to portfolio realignment to take advantage of higher-yielding assets.
- Financial assets grew by 35% reflecting the switch from cash and cash equivalent to benefit from the elevated yield in fixed income securities during the period.
- Reinsurance Assets increased by 66% to N2.6bn in HY'17 (FY'16: N1.6bn) driven by the growth in reinsurance expenses arising from a growth in GWP.
- Trade receivables made up of outstanding premiums on broker-related businesses written during the period is at N325m in HY'17, a 41% reduction from its FY'16 position.
- Investment Property further declined by 30%, in line with the company's strategic divestment from properties to higher-yielding assets.
- Insurance contract liabilities increased by 32% from FY'16, following a growth in GWP during the period.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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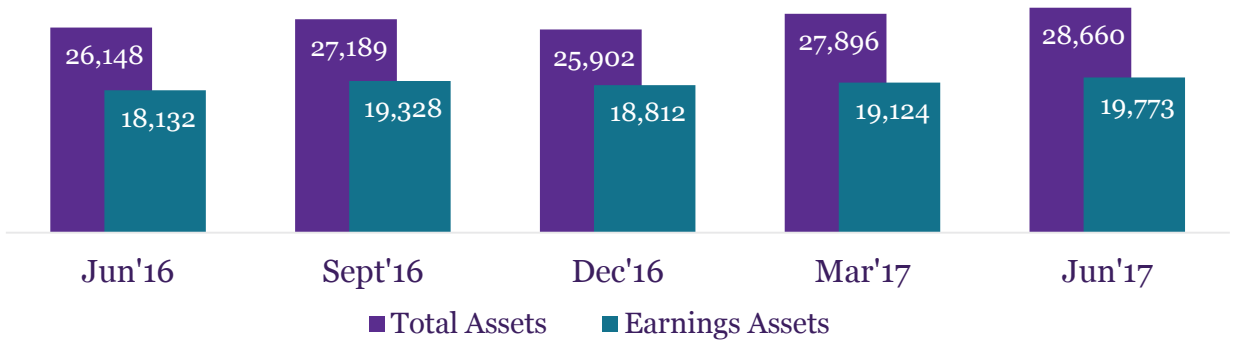
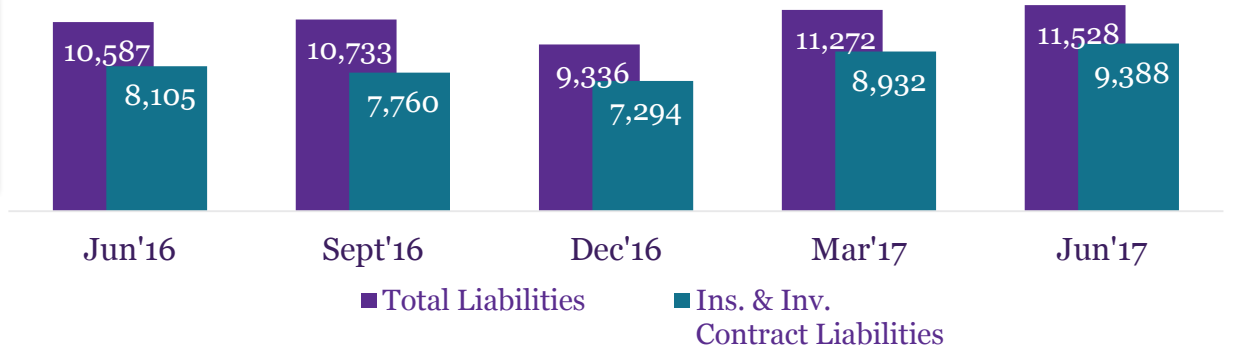
Highlights of financial position

NGN million

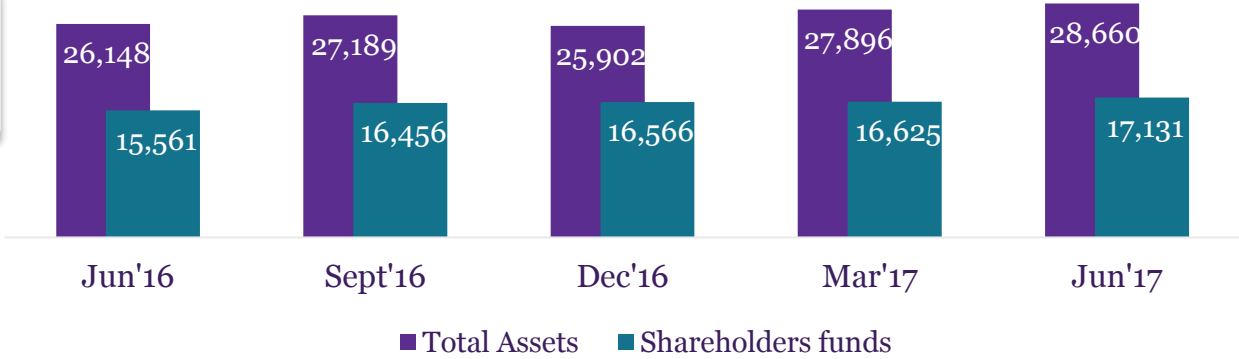
Total Assets & Earnings Assets



Insurance & Investment Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- Earnings assets to Total assets ratio down slightly by 5% from the FY'16 position to 69% in HY'17 due to increased investment in fixed assets.
- The Group grew its Total assets position by 11% to N29bn as at HY'17 (FY'16: N26bn)
- Insurance and Investment contract liabilities stood at N9.4bn representing a 29% growth from the FY'16 position of N7.3bn.
- Total liabilities grew by 23% to N11bn in the period under review against FY'16 position. Key drivers include growth in Insurance contract liabilities and income tax liabilities recorded for the period.
- The Group's Shareholders funds grew marginally by 3% from the FY'16 position to N17bn in HY'17.

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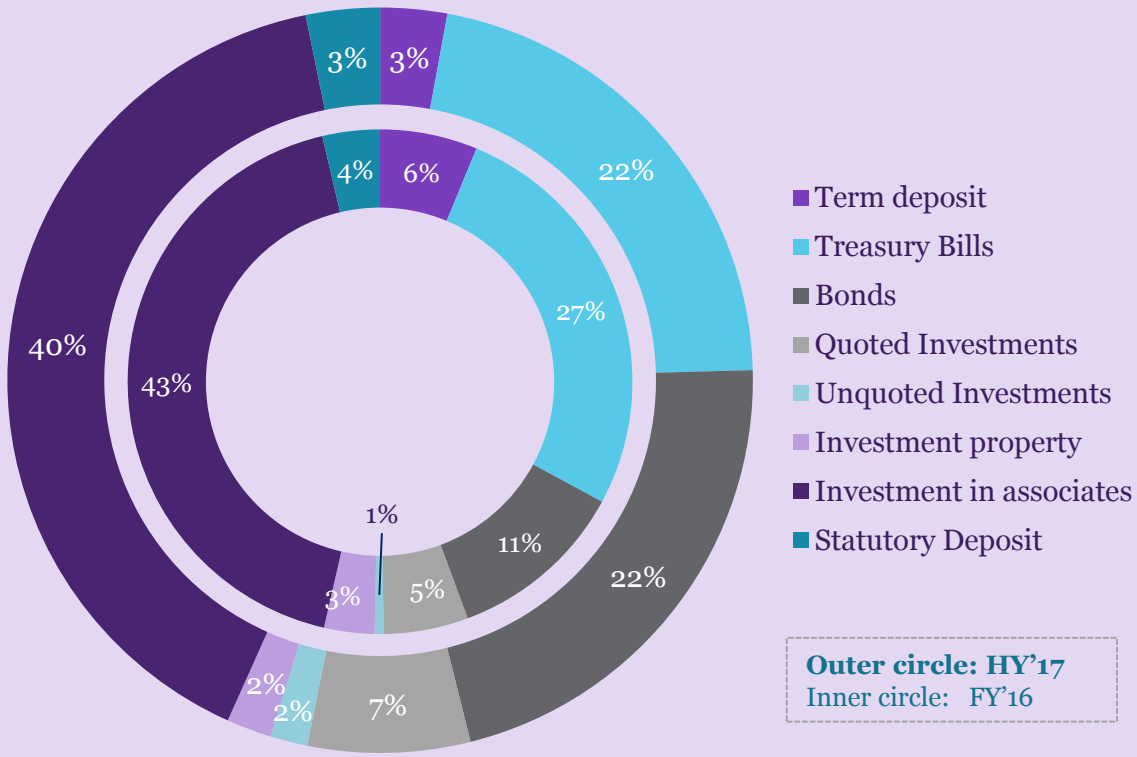
Assets Under Management

Assets under management

N'm	HY'17	FY'16
Term Deposits	557	1,048
Treasury Bills	4,174	4,471
Bonds	4,146	1,924
Quoted Investments	1,354	909
Unquoted Investments	311	98
Investment Property	377	540
Investment in Associate	7,720	7,174
Statutory Deposit	618	618
Total	**19,256**	**16,781**



- The 47% decrease in Term Deposits was largely impacted by the increased claims payout experience for the period.
- Unquoted equities increased by 219% reflecting fund allocation for identified long term opportunity. Quoted Equities grew by 49% underpinned by the fundamentals of the portfolio stock and general market recovery.
- Marginal growth in the value of investment in associates is reflective of the Group's share of profit in CMB
- The growth in Bonds at 115% is to lock-in the yield at the current level and improve asset liability matching of the portfolio

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How we build for the future

FINANCIAL

- With the focus on diversification of distribution channels, we expect continued growth in our topline figures in line with strategic forecasts
- We continue to proactively drive for a solid solvency margin, ahead of an expected regulatory change in capital adequacy rules
- We shall maintain a continuous focus on cost optimization in order to meet our strict target cost-to-income ratio.

OPERATIONAL

- We have transformed our corporate website into a world class e-business platform and customer experience touch point to enable sales and enhanced customer engagement.
- We will continue to enhance our underwriting processes through improved risk assessment and selection
- We have enhanced our core business and technology processes, a solid foundation to our anticipated Customer Experience and Operational transformation.

SALES

- The recent launch of our innovative SMART products, is intended to deepen our retail insurance penetration, grow our customer base and improve overall customer experience
- We continue to grow our corporate business especially in the oil and energy sector, leveraging the local content regulation

PEOPLE

- We remain focused on driving a high performance organization. The recruitment, engagement, development and retention of staff remain a priority, balanced against cost efficiency.
- We are inculcating the behaviors, culture and innovation associated with leading customer experience providers.

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